FINS3616 International Business Finance Term 2, 2026

Week 2 and possibly part of Week 3 *Reading Guide and Tutorial Questions*

Chapters 6, and 4: Foreign Exchange Markets, Parity Conditions: PPP

Week 2 Readings (Shapiro)

Chapter 6 – The Foreign Exchange Market

6.1 Organization of the Foreign Exchange Market

6.2 The Spot Market

6.3 The Forward Market

Chapter 4 – Parity Conditions in International Finance and Currency Forecasting

4.1 Arbitrage and the Law of One Price

4.2 Purchasing Power Parity

Chapter 6:

Forward Markets: Problems 2, 7, 8 and 9

Chapter 4:

Conceptual Questions 1, 3

Absolute PPP: Problem 2

Relative PPP: Problem 7, 8

(Non-Shapiro) Additional Questions 1, 2

Chapter 6

Chapter 6, Problem 2

The $/€ exchange rate is €1 = $1.45, and the €/SFr exchange rate is SFr 1 = €0.71. What is the SFr/$ exchange rate?

Chapter 6, Problem 7

Suppose Credit Suisse quotes spot and 90-day forward rates on the Swiss franc of $0.7957-60, 8-13.

a. What are the outright 90-day forward rates that Credit Suisse is quoting?

b. What is the forward discount or premium associated with buying 90-day Swiss francs?

c. Compute the percentage bid-ask spreads on spot and forward Swiss francs.

Chapter 6, Problem 8

Suppose Dupont receives quotes of $0.009369-71 for the yen and $0.03675-6 for the Taiwan dollar (NT$).

a. How many U.S. dollars will Dupont receive from the sale of ¥50 million?

b. What is the U.S. dollar cost to Dupont of buying ¥1 billion?

c. How many NT$ will Dupont receive for U.S.$500,000?

d. How many yen will Dupont receive for NT$200 million?

e. What is the yen cost to Dupont of buying NT$80 million?

Chapter 6, Problem 9

Suppose the GBP/EUR exchange rate is quoted at 0.6064–0.6080 in London, and the EUR/GBP exchange rate is quoted at 1.6244–1.6259 in Frankfurt

a. Is there a profitable arbitrage situation? Describe it.

b. Compute the percentage bid ask spreads on the pound and euro.

Chapter 4

Chapter 4, Question 1

1. a. What is purchasing power parity?

b. What are some reasons for deviations from purchasing power parity?

c. Under what circumstances can purchasing power parity be applied?

Chapter 4, Question 3

3. Suppose the dollar/rupiah rate is fixed but Indonesian prices are rising faster than U.S. prices. Is the Indonesian rupiah appreciating or depreciating in real terms?

Chapter 4, Problem 2

2. Two countries, the United States and England, produce only one good, wheat. Suppose the price of wheat is $3.25 in the United States and is £1.35 in England.

a. According to the law of one price, what should the USD/GBP spot exchange rate be?

b. Suppose the price of wheat over the next year is expected to rise to $3.50 in the United States and to £1.60 in England. What should the one year USD/GBP forward rate be?

c. If the U.S. government imposes a tariff of $0.50 per bushel on wheat imported from England, what is the maximum possible change in the spot exchange rate that could occur?

Equation (4.7) from the PPT slides of chapter 4 and/or from textbook by Shapiro on page 114 is reproduced below for your convenience in solving the next two problems listed. Please also note that the full explanations of Equations 4.6 and 4.7 have already been provided in the PPT slides for Chapter 4. $\boldsymbol{e'_t = e_t \times \frac{(1+i_f)^t}{(1+i_h)^t}}$

(4.7)

Chapter 4, Problem 7

7. Chase Econometrics has just published projected inflation rates for the United States and Germany for the next five years. U.S. inflation is expected to be 10 percent per year, and German inflation is expected to be 4 percent per year.

a. If the current exchange rate is \$0.95/€, what should the exchange rates for the next five years be?

(4.7)

b. Suppose that U.S. inflation over the next five years turns out to average 3.2%, German inflation averages 1.5%, and the exchange rate in five years is \$0.99/€. What has happened to the real value of the euro over this five-year period?

Chapter 4, Problem 8

8. During 1995, the Mexican peso exchange rate rose from Mex5.33/USD to Mex7.64/USD.

At the same time, U.S. inflation was approximately 3% in contrast to Mexican inflation of about 48.7%.

a. By how much did the nominal value of the peso change during 1995?

b. By how much did the real value of the peso change over this period?

Based on this real exchange rate, the peso has appreciated during 1995 by 0.72% ((0.1890 - 0.1876)/0.1876). In other words, the real exchange rate stayed virtually constant, implying the purchasing power parity held during the year.

Only if time permits, you may wish to attempt these two questions.

Additional Questions

1. Assume that the price level in Canada is CAD16,600, the price level in France is EUR11,750, and the spot exchange rate is CAD 1.35/EUR.

a. What is the implied exchange rate of CAD/EUR that satisfies absolute PPP?

b. Is the Euro over- or undervalued relative to the Canadian Dollar?

c. What amount of appreciation or depreciation of the Euro would be required to return the actual exchange rate to its PPP value?

2. If the spot JPY/EUR exchange rate is 114 (i.e. 1 EUR = JPY 114), and expected inflation rates in Japan and Europe are 3% and 5%, respectively, what is the expected change in the EUR over this one year period?